



Personal finance

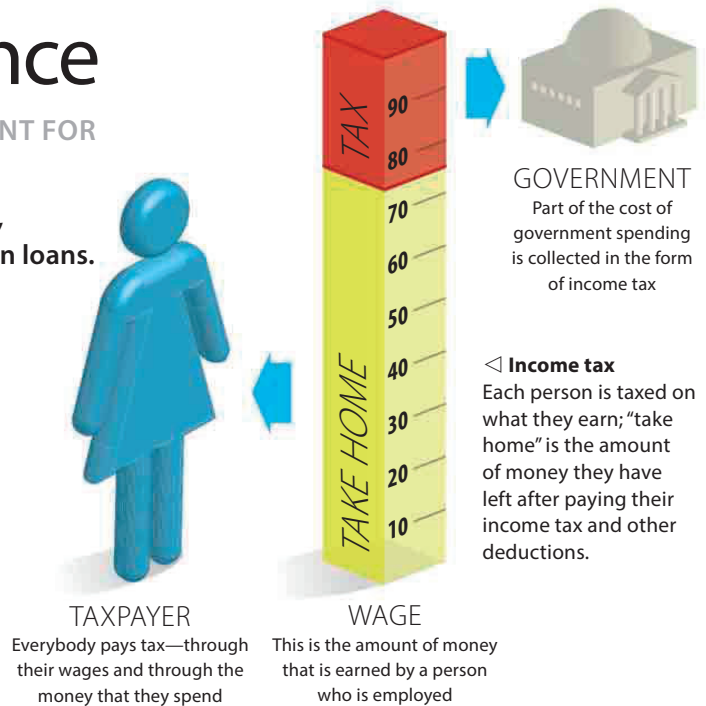
KNOWING HOW MONEY WORKS IS IMPORTANT FOR MANAGING YOUR PERSONAL FINANCES.

Personal finance includes paying tax on income, gaining interest on savings, or paying interest on loans.

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Tax

Tax is a fee charged by a government on a product, income, or activity. Governments collect the money they need to provide services, such as schools and defense, by taxing individuals and companies. Individuals are taxed on what they earn—income tax—and also on some things they buy—sales tax.



FINANCIAL TERMS

Financial words often seem complicated, but they are easy to understand. Knowing what the important ones mean will enable you to manage your finances by helping you understand what you have to pay and the money you will receive.

Bank account	This is the record of whatever a person borrows from or saves with the bank. Each account holder has a numeric password called a personal identification number (PIN), which should never be revealed to anyone.
Credit	Credit is money that is borrowed—for example, on a 4-year pay-back agreement or as an overdraft from the bank. It always costs to borrow money. The money paid to borrow from a bank is called interest.
Income	This is the money that comes to an individual or family. This can be provided by the wages that are paid for employment. Sometimes it comes from the government in the form of an allowance or direct payment.
Interest	This is the cost of borrowing money or the income received when saving with a bank. It costs more to borrow money from a bank than the interest a person would receive from the bank by saving the same amount.
Mortgage	A mortgage is an agreement to borrow money to buy a home. A bank lends the money for the purchase and this is paid back, usually over a long period of time, together with interest on the loan and other charges.
Savings	There are many forms of savings. Money can be saved in a bank to earn interest. Saving through a pension plan involves making regular payments to ensure an income after retirement.
Break-even	Break-even is the point where the cost, or what a company has spent, is equal to revenue, which is what the company has earned—at break-even the company makes neither a profit nor a loss.
Loss	Companies make a loss if they spend more than they earn—if it costs them more to produce their product than they earn by selling it.
Profit	Profit is the part of a company's income that is left once their costs have been paid—it is the money “made” by a company.